UNIVERSITY OF PORT HARCOURT
FACULTY OF LAW

CRIMINAL LAW I

MODULE 6:- CORPORATE CRIMINAL LIABILITY

The recognition of the capacity of corporations to commit crimes is a comparatively recent phenomenon. A corporation or company is a legal abstraction. By this it's meant that by operation of law, a company is a person, but unlike a human being, it needs o period of infancy and it is not susceptible to the thousand natural shocks that flesh is heir to. It cannot become incapacitated by illness, mental or physical and it has no allotted span of life. The House of Lords gave the initial impetus to this legal apparition in the popular case of **SALOMON v. SALOMON** (1898) AC. 22 where **Lord Mcnagthen** stated as follows:

"The company is at law a different person altogether from the subscribers, and though it may be that after incorporation, the business is precisely the same as it was before and the same persons are managers and the same hands receive the profits. The company is not in law the agents of the subscribers or trustees for them nor are the subscribers as members, liable in any form except to the extent and in the manner provided by the Act".

An American Journalist, M. Meyer puts the essence of a corporation in focus when he observed as follows: "The corporation itself as an abstract form is a creation of art wonderful to behold. A *corporation comes into existence when it is needed and dies when its usefulness is gone. It can own property and money and other corporations. It can buy and sell rather eminent men. It can hire lawyers, sue and be sued. It can advertise, buy books, make binding contracts, expand, manufacture goods, perform all services. It needs no sleep, takes no vaccination. It can borrow and steal and even beg. It is never liable to anyone beyond what it has. If its debts exceeds its assets, that is too bad for its creditors. If you prick it, it does not bleed; if you tickle it, it does not laugh; it can scream however if it is taxed or otherwise annoyed. Exactly what a corporation is, nobody knows. That is one of its duties".*

The traditional attitude of the common law based on its peculiar nature was summed up by **Chief Justice Holt** in ANONYMOUS 8 E.R. 158 thus: "*A corporation is not indictable but the particular members are*". Several reasons were advanced for this approach by the common law courts. First, all felonies then were at common law punished by death and as a company is not a natural person, it is impossible to hang it in the gallows or guillotine. Another reason was that in trials at the assizes those days, the person appearance of the accused was mandatory and since corporations have no physical appearance, there was no one to be placed in the dock. The third and most daunting problem was how to locate the actus reus and mens rea of a company since it is not a human person. In fact, **Lord Thurcon** once queried, *"Did you ever expect a corporation to have a conscience when it has no soul to be damned and no body to be kicked? Since a corporation has no mind and indeed, no body with which to act, it could not be charged with any crime that has intention, knowledge or deceit as necessary element".*

Various measures were employed by the law to solve the above problems. On the first, appropriate punishments were prescribed in statutes to be applicable to corporations when charged with criminal offences. On the second challenge, statutes were amended to allow corporations to appear through agents or representatives at assizes. On the issue of mens rea and actus reus, companies were made triable for strict liability offences that do not require mens rea, but involve breach of legal duties by its servants and agents or the negligent performance of such duties. Apart from this method, corporations were also held liable in civil suits for the acts of its servants, officers and employees on the principle of QUI FACIT PER ALIUM FACIT PER SE.

In 1944, the culpability of companies for criminal offences including the ones requiring mens rea became more entrenched and recognized through three cases decided that year. The first was DPP v. KENT & SUSSEX CONTRACTORS LTD (1944) K.B. 126. Here, a corporation was prosecuted and convicted for making use of a document with intent to deceive and for making a statement which it knew to be false. The second case was R v. I.C.R. HAULAGE LTD (1944). In this case, the Court of Appeal upheld the conviction of a company charged with common law conspiracy to defraud which is an offence requiring mens rea. The third case was MOORE v. BRESLER LTD (194) 2 All E.R. 515. Here, a company was convicted of making use of a document with intent to deceive contrary to statute. These cases were based on a statement of law established by Lord Haldane in LENNARDS CARRYING CO v. ASIATIC PETROLEUM CO. LTD (1915) 705 where in establishing that a company was liable for the default of its managing director, stated as follows:

> *"My lords, a corporation is an abstraction. It has n mind of its own any more than it has a body. Its active and directing will must consequently be sought in the person of somebody who for some purposes may be called an agent but who is really the directing mind and will of the corporation because his action is the very action of the corporation itself".*

In H.L. BOLTON ENGINEERING CO. LTD v. T.J. GRAHAM & SONS LTD (1957) 1 QB 159, Lord Denning established the state of mind to be imputed to corporations when facing criminal trials. According to him: "*A company may in many ways be likened to a human body. It has a brain and a nerve centre which controls what it does. It also has hands which hold the tools and acts in* *accordance with direction from the centre. Some of the people in the company are mere servants and agents who are nothing more than hands to do the work and cannot be said to represent the directing mind and will of the company and control what it does. The state of mind of these managers is the state of mind of the company and is treated by the law as such".*

The House of Lords clarified those to be regarded as the brain and nerve centre of the company and those to be regarded as hands of the company in the case of TESCO SUPERMARKET LTD v. NATRASS LTD (1972) AC 153. In this case, the question that arose was whether a company should be held liable for the acts of the manager in charge of one of its eight hundred (800) supermarkets who failed to perform his supervisory role. The Court held that the acts of this branch manager would not be regarded as the acts of the company. The Court also held that either one of the principal organs of the company or one of its senior executive officers should be implicated to to convict the company of an offence requiring mens rea. Lord Reid held that a company would be liable for the acts of "*the board of directors, the managing director and perhaps other superior officers of a company who carry out the functions of management and speak and acts as the company*". Lord Diplock was of the opinion that the law must identify "*those natural persons who by the memorandum and articles of association or as a result of the action taken by the directors or by the company in a general meeting, under the articles, are entrusted with the exercise of the powers of the company*".

By the above decision, a distinction was drawn between those possessing managerial powers and those possessing ministerial powers. While those having managerial powers and their delegates act as the company, those with no-managerial powers are mere servants who cannot act as the company. This distinction was rejected in the American case of COMMONWEALTH v. BENEFICIAL FINANCE CO. (1971) 2 All E.R. 275 NE. Here, Beneficial Finance Co, two other companies and several employees were convicted for bribery schemes embarked upon in order to obtain better treatment from the small regulatory board. The Court held that if a corporation has placed its agent in a position where he has the authority to act for and on behalf of the corporation in handling the particular corporate business operation or project in which he was engaged at the time he committed a criminal act, the corporation is similarly liable. The Court rejected the division of powers espoused in the TESCO v. NATRASS Case and held that if the criminal act was committed by the agent while employing the corporate powers actually authorized for the benefit of the corporation while acting within the scope of his employment, the act would be imputed to the corporation whether covered by the agent's instructions or whether or not lawful. The Court was also of the opinion that the size and complexity of large corporations which necessitates delegation of more authority to lesser corporate employees allow lesser employees in several instances more authority and broader powers in certain areas than a high ranking corporate officer.

The decision in COMMONWEALTH v. BENEFICIAL FINANCE CO. (supra) is to be preferred to the decision in TESCO v. NATRASS (supra) for the position of an officer in a corporation should not be the basis for imputing criminal conduct in a corporation, rather, it should be the action or duty performed by an employee for the benefit of the corporation. It should be stated however that there are certain crimes which are inherently human and cannot therefore be committed by corporations. Such offences include bigamy, rape, incest and perjury. This was why Glanville Williams contended that "since a corporation cannot go through a ceremony of marriage, it cannot commit bigamy; and since it cannot take an oath, it cannot commit perjury". Note that in several jurisdictions today, a company can be convicted for corporate manslaughter.

The Position in Nigeria

The liability of corporations under Nigerian law is contained in sections 65 and 66 of the Companies and Allied Matters Act (CAMA) Section 65 provides that "any act of the members in general meeting, the board of directors or of a managing director while carrying on in the usual way the business of the company shall be treated as the act of the company itself and the company shall be criminally and civilly liable therefor to the same extent as if it were a natural person". This section will apply even if the business in question was not among the business authorized by the company's memorandum of association.

Under section 66 of CAMA, the acts of any officer or agent of the company shall not be deemed to be the acts of the company unless the company acting through its members in general meeting, board of directors or managing director shall have expressly or impliedly authorized such officer or agent to act in that manner.

From the above provisions, Nigerian law has wholly adopted the decision in TESCO SUPERMARKET LTD v. NATRASS (supra) which only places criminal liability on a company if the act in question was done by one regarded as the controlling mind and will of the company or its alter ego. Thus, in ODUKALE v. IBADAN CITY OUNCIL (1958) WRNLR 147 the Chairman of the Council was held as the directing mind and will of the Council to incur it criminal and civil liabilities. In the Criminal Code and other statutes in Nigeria, the criminal liability of companies has duly been established. Such statutes include the Failed Banks (Recovery of Debts) and Financial Malpractices in Bank Act; the Consumer Protection Act, the Dangerous Drug Act and the Money Laundering (Prohibition) Act. Thus, in AFRICAN PRESS LTD v. R (1952) 14 WACA 57, a corporation was convicted for printing seditious libel. In MANDILLAS & KARABERIS v. COP WEST (1958) WNLR 197, the actions of a company were held sufficient to render the company guilty of stealing.

Note that the Administration of Criminal Justice Act has also endorsed the existence of criminal liability of companies by providing in section 477(1) that a company could be arraigned for the commission of a criminal offence either alone or jointly with a natural person. Section 477(2) provides that a company can appoint a representative to stand for it during its trial for a crime. This representative will be expected to take plea on its behalf and stand throughout the subsistence of the charge. The Act again restated the directing mind and will principle when it provides in section 477(3) that such a representative should be appointed in writing by the managing director or any person by whatever name called, having or being one of the persons having the management of the company standing trial. A case that aptly illustrates the provision of section 477(1) above is FRN v. DR. NWOCHIE ODOGWU & CAPITAL MERCHANT BANK (1997) 1 FBTL 179 where both the Managing Director and his bank were charged for financial malpractices.

Upon conviction, a company will be made to pay fine since it cannot be sentenced to imprisonment. Note however that it could equally be made to pay monetary compensation to the victim of its act. The Money Laundering (Prohibition) Act also contains a novel form of sentence when it provides as follows: "*Where a body corporate is convicted of an offence under this act, the court may order that the body corporate shall there upon and without any further assurances but for such order, be wound up and all its assets and properties forfeited to the Federal Government.*